COURSE

Leaving Certificate Business (current syllabus)

Profitability and liquidity ratios

Unit 4: Managing 2 · 4.4 Main profitability and liquidity ratios; 4.5.5 debt/equity

Revision for Unit 4: Managing 2: each firm works it out on its own deals, in euros.

Class **Leaving Certificate Business** Topic **Profitability and liquidity ratios**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Current ratio**	TASK 2 **Raise current ratio**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Rank current ratio**	TASK 4 **Net profit margin**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **High current ratio**	TASK 6 **ROI as a %**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Can they pay their bills?

Current ratio? Type the number before ":1".

WORK OUT THE NUMBER · EXAMPLE FIGURES

Current assets	**€60,000**
Owed to suppliers	**€9,200**
Bank overdraft	**€5,800**

METHOD

Current ratio = current assets ÷ (suppliers + overdraft)

€9,200 + €5,800 = €15,000; €60,000 ÷ €15,000 = 4 : 1

Why: They hold €4 of assets for every €1 they owe soon.

Task 2

ROUND 1

Your current ratio is 0.8.

Which two actions would raise it?

PICK TWO

- ○ Buy computers on the overdraft
- ○ Pay suppliers with cash
- ✔ **Sell an unused building for cash**
- ✔ **Swap the overdraft for a 5-year loan**
- ○ Use cash to buy a new ramp

Why: Raise current assets or cut current liabilities, without the other moving.

Task 3

ROUND 2

Three dealers: current assets and current liabilities.

Order by current ratio, lowest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **€45,000 assets, €50,000 debts**
2. **€60,000 assets, €40,000 debts**
3. **€120,000 assets, €60,000 debts**

Why: Ratios 0.9, 1.5 and 2.0.

Task 4

ROUND 2

Last year's accounts.

Net profit margin, as a %?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Sales	**€120,000**
Cost of cars sold	**€100,800**
Overheads	**€12,000**

METHOD

Net margin = (sales – cost of cars sold – overheads) ÷ sales × 100

€120,000 – €100,800 – €12,000 = €7,200; ÷ €120,000 = 6%

Why: Net profit is what is left after the cars and the overheads.

Task 5

ROUND 3

Your current ratio is 3.5. Most of the current assets are cars that have not sold.

What should you do, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Cut the stock you hold**
- ○ Leave it as it is

Why: Unsold stock ties up cash that could earn more elsewhere.

Task 6

ROUND 3

Last year's accounts.

Return on investment, as a %?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Net profit	**€42,120**
Share capital	**€84,240**
Retained profit	**€56,160**
Non-current liabilities	**€70,200**

METHOD

Return on investment = net profit ÷ (share capital + retained profit + non-current liabilities) × 100

€84,240 + €56,160 + €70,200 = €210,600; €42,120 ÷ €210,600 × 100 = 20%

Why: Net profit was 20% of the capital employed.

Final questions

6
questions for each pupil

50
questions in the Irish set

0
of them on profitability and liquidity ratios

The Irish question set has no questions about profitability and liquidity ratios yet. The game draws 6 from the lesson topic the teacher picks.